Customer Segmentation (RFM): Who Gets Which Campaign

UCI Online Retail | 4,334 customers | 1 Dec 2010 - 9 Dec 2011 | £8.74M revenue after cleaning

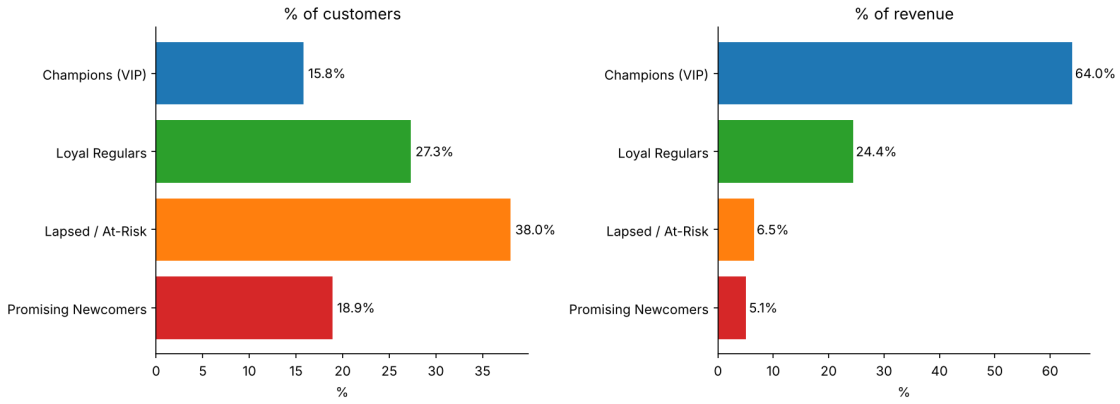
Headline

16% of customers (Champions) generate 64% of revenue; 38% of customers (Lapsed) generate only 6.5%. Retention budget should be concentrated on protecting Champions and moving Loyal Regulars up. Lapsed customers get a cheap, capped win-back, not a full-price campaign.

Segment	Cust.	% Cust.	% Rev.	Recency (d)	Orders	Avg spend
Champions (VIP)	686	15.8%	64.0%	11	13.9	£8,154
Loyal Regulars	1,182	27.3%	24.4%	68	4.2	£1,801
Lapsed / At-Risk	1,646	38.0%	6.5%	181	1.3	£347
Promising Newcomers	820	18.9%	5.1%	17	2.1	£541

Recommended campaigns

Segment	Campaign	Why
Champions (VIP)	Early access to new ranges, VIP tier with free shipping, referral and bulk-order rewards. No blanket discounts.	Already buy ~14 times a year at £8.2k; discounts would give away margin. Losing even 10% of them costs ~6% of total revenue.
Loyal Regulars	Cross-sell bundles and an 'order again' reminder around day 45; volume-tier incentives to reach VIP.	Spend £1.8k, 4 orders, but recency has slipped to ~68 days. Largest realistic upside: lifting frequency here.
Promising Newcomers	Welcome series plus a second-order incentive within 30 days; product education.	Bought within ~17 days but only ~2 orders. Getting them to order 3+ times is how Champions are made.
Lapsed / At-Risk	Low-cost win-back email/SMS with a time-limited offer; suppress after one failed attempt.	181 days silent, 1.3 orders, £347. Largest group but lowest value, so keep cost per contact minimal.



Method and caveats

Cleaned data (removed 135k rows with no CustomerID, duplicates, cancellations, non-product codes). Recency measured to 10 Dec 2011; Frequency = distinct invoices; Monetary = £ revenue. RFM was log-transformed, standardised and clustered with K-Means (k=4, chosen for business interpretability; silhouette 0.34, k=2 scores higher at 0.44 but is too coarse to act on). A rule-based 1-5 quintile RFM score is also provided as a cross-check. **Caveats:** one year of data, ~90% UK customers, and many buyers look like wholesale accounts, so results suggest where to test, not guaranteed uplift. Run an A/B test with a holdout group before rolling out each campaign.